

Economy

The Institute Employment Report: September 2026

07 October 2026

Key takeaways

- Job growth softened further in September, according to Bank of America's deposit data, with growth of 1.4% year-over-year (YoY), from 1.5% in August. But falling unemployment payments in September indicate a relatively healthy overall picture.
- Lower-income households' wage growth remains strongest, despite a narrowing gap. After-tax wage growth eased to 4.5% YoY for lower-income households in September, while rising to 3.8% and 3.7% for middle- and higher-income households, respectively.
- Lower tax withholdings and a relative strengthening in the younger/lower-income end of the labor market are driving this story. Additionally, average hours have risen in some lower-paid industries, which is also boosting pay packets.

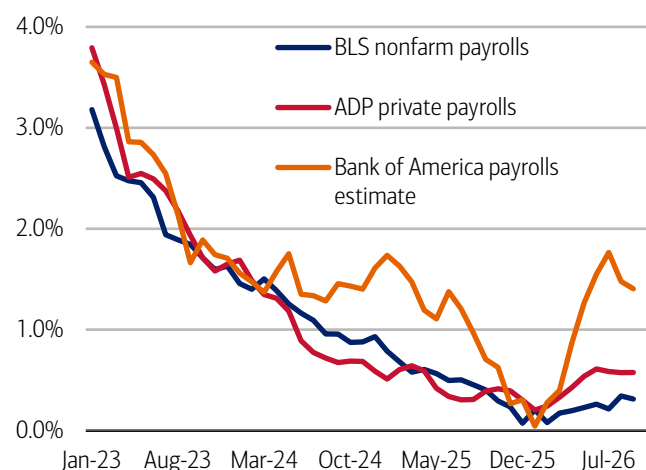
Job growth slowed in September, but unemployment trends are benign

Our estimate of job growth – which uses Bank of America deposit data to track changes in the number of customer accounts receiving a paycheck (see Methodology) – slowed further in September, to 1.4% year-over-year (YoY) from 1.5% YoY in August. The data can be noisy, partly due to seasonal variation and differences in pay-period timing, but in our view, the latest reading is consistent with the easing in payrolls growth seen in the September Bureau of Labor Statistics (BLS) data (Exhibit 1).

Still, despite slower hiring, there is little sign of a rise in joblessness in Bank of America data. Unemployment payments into customer accounts showed a YoY decline in September (Exhibit 2). So, overall, labor market trends appear resilient.

Exhibit 1: September payroll growth showed further slowing in Bank of America deposit account data

Payroll estimates from Bank of America customer deposit account data (three-month moving average, % YoY), the Bureau of Labor Statistics (BLS) and Automatic Data Processing (ADP) (monthly, YoY)



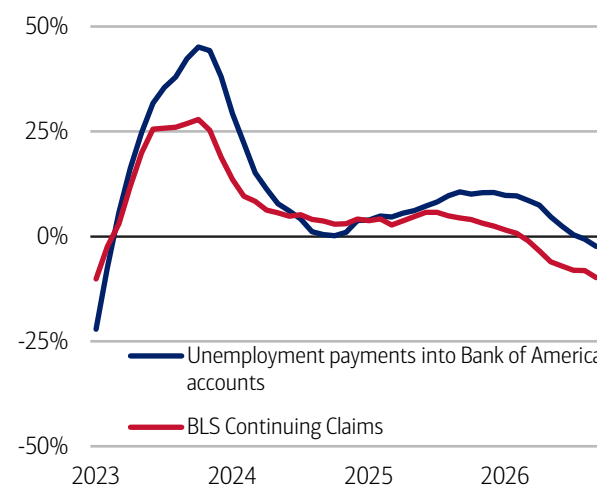
Source: Bank of America internal data, Haver Analytics

Note: BLS and ADP data are seasonally adjusted, Bank of America data is not seasonally adjusted.

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Exhibit 2: Unemployment payments declined YoY in September, according to Bank of America consumer deposit data

Number of households receiving unemployment payments (three-month moving average, YoY%, not seasonally adjusted (NSA)) and BLS Continuing Claims (three-month moving average, YoY%, seasonally adjusted (SA))



Source: Bank of America internal data, Bloomberg

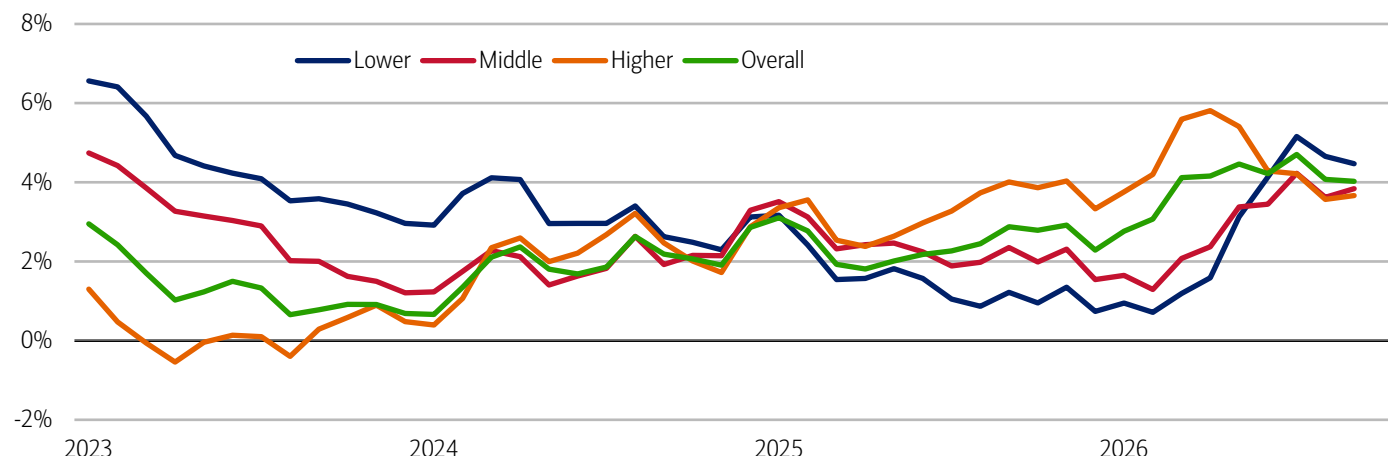
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After-tax wage growth cooled for lower-income, but rose for other cohorts

Lower-income wage growth eased to 4.5% YoY in September from 4.7% YoY in August, while wage growth for middle- and higher-income households rose to 3.8% and 3.7% YoY, respectively. Overall, these changes were modest, and lower-income households are continuing to see faster after-tax wage growth than other cohorts, a notable turnaround from the “K-shaped” pattern we observed over much of 2025 and 2026 (Exhibit 3).

Exhibit 3: Lower-income wage growth remains strongest, despite a narrowing gap

After-tax wage and salary growth by household income terciles, based on Bank of America aggregated consumer deposit account data (three-month moving average, YoY%, SA)



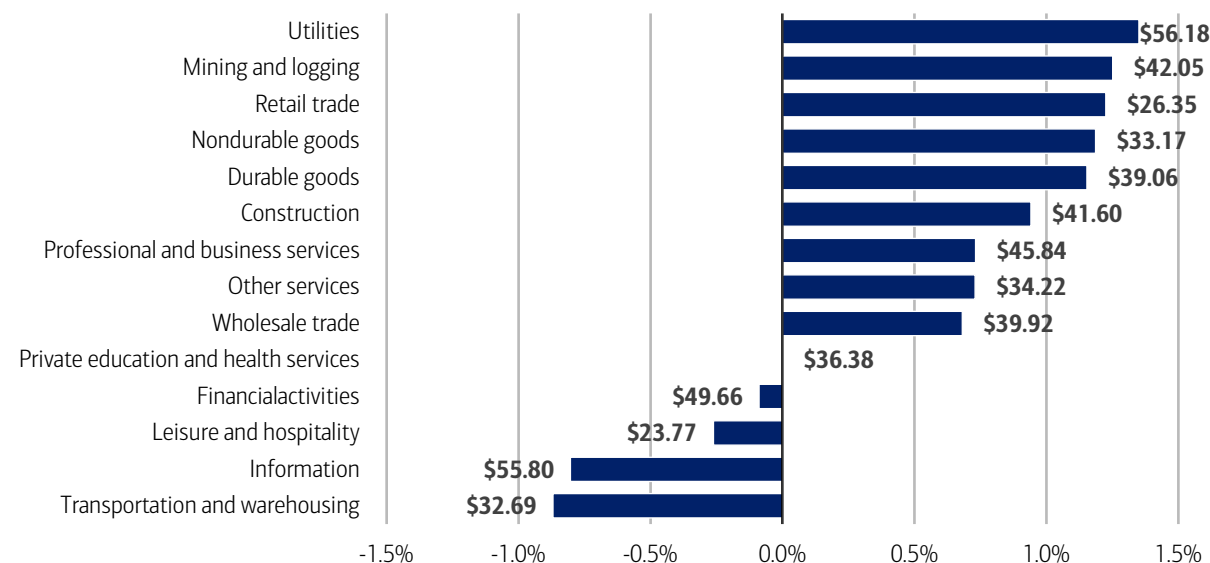
Source: Bank of America internal data

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In our view, the pick-up in lower- and middle-income households’ after-tax wage growth continues to reflect the impact of the One Big Beautiful Bill Act (OBBA) in reducing tax withholdings, alongside an underlying rise in job-to-job changes at the younger/lower-income end of the labor market (for more, read: [The Institute Employment Report: August 2026](#)). Consistent with that underlying pick up, BLS data shows a solid YoY rise in average hours worked in several relatively lower-paid industries, such as manufacturing, retail and other services. Hourly workers in these industries are likely seeing rising paychecks as a result (Exhibit 4).

Exhibit 4: Some relatively lower-paid industries have seen a rise in hours worked

Average weekly hours by industry, July-September 2026 (% YoY) and average hourly earnings by industry, July-September 2026 (\$)



Source: Haver Analytics

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Estimate of payroll growth from Bank of America internal data is based on the change in customer accounts receiving a paycheck in the month. An adjustment is made for the difference between overall population growth and customer account growth. Occasionally historic payments can be reclassified, leading to revisions in the series.

An estimate of bonus growth from Bank of America deposit data is calculated by looking at customers who have received an inbound ACH payroll transaction in the last two years. From this sample an estimate of bonuses is derived by looking for payroll transactions which are over 50% higher than the median regular payroll payments received by the customer. Of these payments only those that were received around the same time in each of the last two years are selected.

The job-to-job change rate (j2j rate) is defined as the proportion of customers with an identified change in their employer as a proportion of the total number of customers with employment income. We estimate the median pay rise associated with a j2j change using the pay in the first three months of the new job compared to the same three months a year ago.

Additional information about the methodology used to aggregate the data is available upon request.

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Sources

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Disclosures

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